MEMORANDUM

To: Senator Mark Warner
From: Anurita Srivastava, Senior Policy Analyst
Subject: Strengthening ESG investment standards to promote market transparency
Date: November 12, 2025

Executive Summary

Investor appetite for sustainable and climate finance has surged to remarkable levels. The cost of U.S. assets managed under Environmental, Social, and Governance (ESG) criteria now exceeds $8.4 trillion, accounting for about 13% of all professionally managed capital.[1] Deloitte describes ESG as a broad umbrella encompassing carbon emissions, labour practices, diversity data, political spending, supply-chain risks, and board accountability.[2]

Thus, in the lack of a federal definition of ESG investing, this growth has outpaced the establishment of consistent rules and verifiable benchmarks. Fund managers largely determine their own criteria, while private rating agencies apply divergent methodologies. For instance, Tesla ranks in the top 10% of ESG performers according to MSCI but in the bottom 20% according to FTSE Russell, highlighting the inconsistency that has eroded investor trust.[3]

This memo recommends creating a Federal ESG Disclosure Framework under the SEC, modeled on the European Union's Sustainable Finance Disclosure Regulation. Such a system would hold the power to clarify fund classifications, standardize disclosures, and require independent verification for large ESG funds. The goal is to keep it simple- by strengthening investor confidence through transparency, without constraining market innovation.

Problem Definition

The previous decade witnessed a rise in ESG investing. As Figure 1 illustrates, the ESG market is no longer niche as it has become mainstream. However, a widening gap has also materialized between its intention and verification. ESG funds are marketed as aligning financial returns with societal values, but the sector operates on a flawed foundation of voluntary standards, inconsistent ratings, and opaque disclosures.

As the SEC's leadership has emphasized, issues such as climate risk, political spending, and supply-chain integrity are now "fundamental to our markets", and investor demand for reliable sustainability information "is not being met by the current voluntary framework".[4] The SEC's

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1 *Report on U.S. Sustainable and Impact Investing Trends. (2024)* | US SIF. (n.d.). https://www.ussif.org/research/trends-reports

2 *What is ESG?* (2022, March 2). Deloitte United Kingdom. https://www.deloitte.com/ce/en/services/consulting/perspectives/esg-explained-1-what-is-esg.html

3 Florian Berg, Julian F Kölbel, Roberto Rigobon, Aggregate Confusion: *The Divergence of ESG Ratings, Review of Finance*, Volume 26, Issue 6, November 2022, Pages 1315–1344, https://doi.org/10.1093/rof/rfac033

4 Sorkin, A. R., Karaian, J., De La Merced, M. J., Hirsch, L., & Livni, E. (2021, March 15). The S.E.C. is increasingly making E.S.G. a priority. *The New York Times*. From Coursework

amended Names Rule (Rule 35d-1) continues to prohibit misleading fund names and applies the 80 per cent investment-policy requirement to funds whose names suggest a particular focus, including those using ESG or sustainability-related terms. However, the rule itself does not formally define what qualifies as an ESG investment.[5]
Meanwhile, private raters use varied criteria, with some weighing carbon intensity and others focusing on governance or social diversity. This parity has resulted in a variability of up to 56% in scores.[6] Moreover, the lack of uniformity has enabled *greenwashing*, a term referring to when funds claim sustainability without providing demonstrable metrics.

For constituents seeking to invest with their conscience, the market currently offers little assurance that an ESG-labeled product reflects authentic sustainability. In effect, values-based investing has become values-blind: *a credibility problem that undermines both market efficiency and public trust*.

Background: The ESG Investment Landscape

By the end of 2024, ESG investing was 12% of the overall US sustainable investment market.[7]

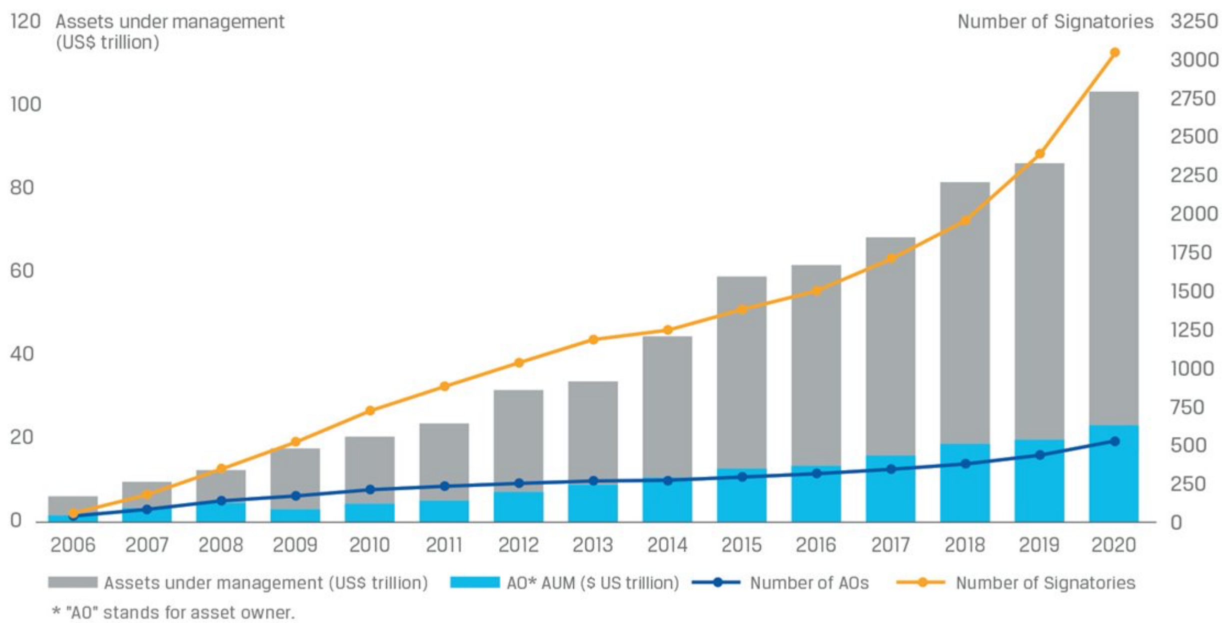

Fig.1: Global Growth of ESG-Managed Assets (2018–2025, USD Trillions)
Source: U.S. SIF Foundation (2024)

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5 *SEC.gov | 2025 Names Rule FAQs*. (n.d.). https://www.sec.gov/rules-regulations/staff-guidance/division-investment-management-frequently-asked-questions/2025-names-rule-faqs

6 Florian Berg, Julian F Kölbel, Roberto Rigobon, Aggregate Confusion: *The Divergence of ESG Ratings, Review of Finance*, Volume 26, Issue 6, November 2022, Section: Divergence, https://doi.org/10.1093/rof/rfac033

7 Norton, L. P. (2024, December 18). *How big is the US sustainable investment market? $6.5 trillion, trade group says*. Morningstar, Inc. https://www.morningstar.com/sustainable-investing/how-big-is-us-sustainable-investment-market-65-trillion-trade-group-says

This capital shift represents a generational realignment of investor expectations, particularly among younger cohorts. Seventy-two per cent of Gen-Z investors say they are more likely to invest in funds that align with their values.[8]
However, a 2022 MIT Sloan study found only a 30% correlation among the ESG scores issued by six leading rating agencies, compared to 99% for credit ratings, which demonstrates the inconsistency problem with the data.[9]

As Figure 2 illustrates, companies can be simultaneously lauded and penalized by different raters, rendering ESG scores essentially meaningless for retail investors.

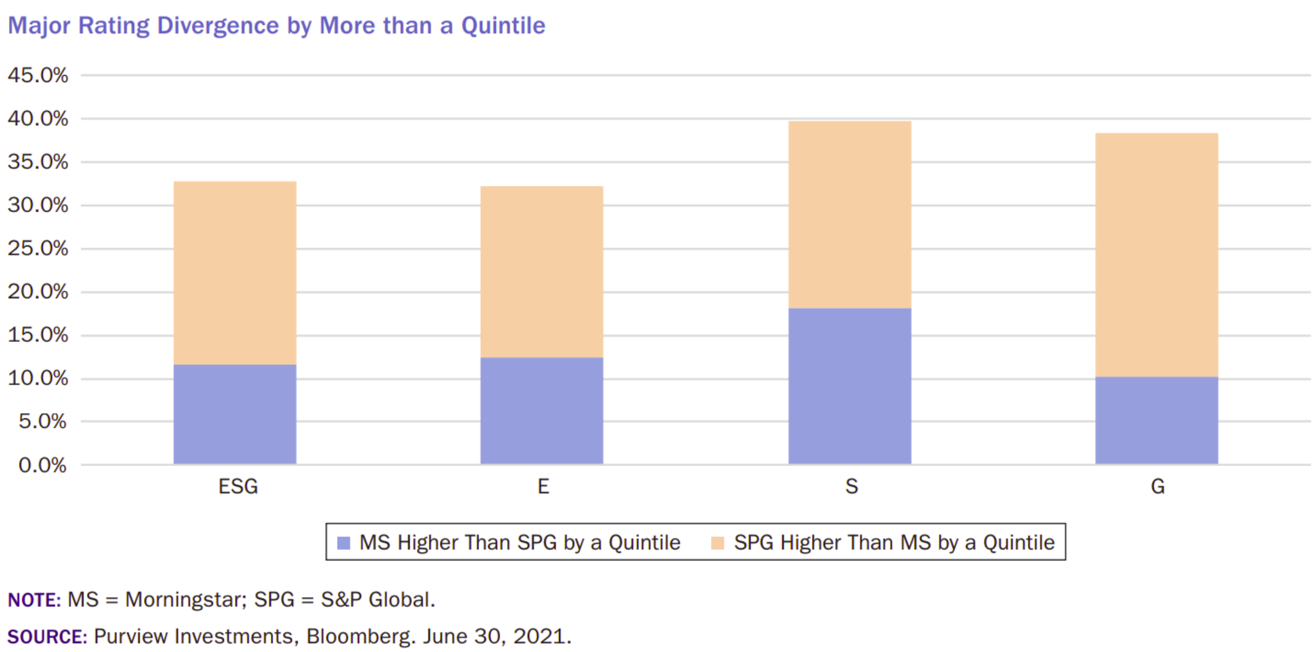

Fig.2: Divergence in ESG Ratings for Major Public Companies
Source: Bloomberg Intelligence (2021)

Existing Corporate ESG Disclosure Requirements-

For publicly traded companies, the SEC does not mandate a comprehensive ESG reporting framework. Instead,

- The SEC regulates fund marketing under the Investment Company Act of 1940, however, no rule currently properly defines what constitutes an ESG investment. Its 2023 proposed Climate Disclosure Rule would require standardised greenhouse-gas emission reporting

[8] Morgan Stanley Institute for sustainable investing. (2025). *Sustainable signals,* Page 7. https://www.morganstanley.com/content/dam/msdotcom/en/assets/pdfs/

[9] Florian Berg, Julian F Kölbel, Roberto Rigobon, Aggregate Confusion: *The Divergence of ESG Ratings, Review of Finance*, Volume 26, Issue 6, November 2022, Section: Divergence, https://doi.org/10.1093/rof/rfac033

and climate-related risk governance, but it has not been finalised due to industry resistance.[10]

- Regulation S-K (2020) requires disclosure of material human-capital information but leaves firms wide discretion about what is "material".[11]

Voluntary Standards Used by U.S. Companies and Asset Managers-

These frameworks provide useful guidance but struggle with inconsistent adoption and differentiating methodologies across industries and fund managers,

- SASB/ISSB standards for financially material sustainability metrics
- Global Reporting Initiative (GRI) for broader impact reporting
- Task Force on Climate-Related Financial Disclosures (TCFD) for climate-risk governance
- UN Principles for Responsible Investment (UN PRI), widely adopted by U.S. asset managers

International Models and Lessons

As depicted in Figure 3, Europe accounts for roughly 80% of global ESG assets, primarily due to the regulatory clarity provided by the EU's SFDR.[12]

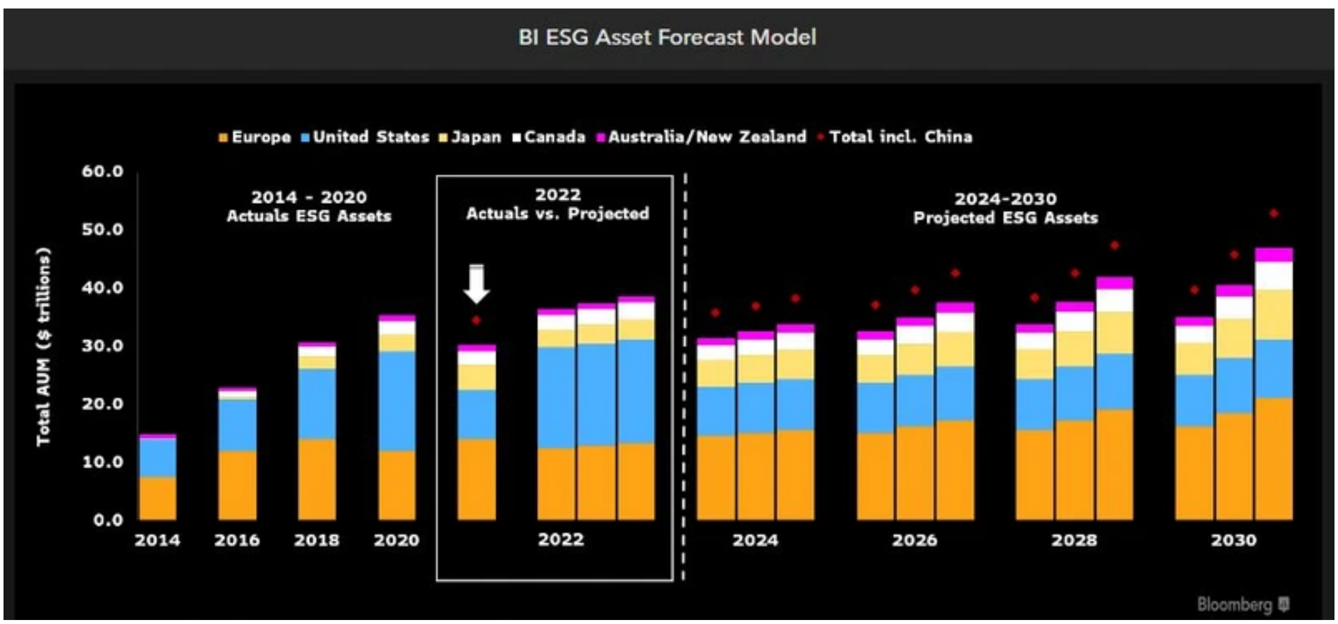

Fig.3: Global Distribution of ESG Assets by Region (2023)
Source: Bloomberg Intelligence (2024)

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[10] SEC.Gov | SEC votes to end defense of climate disclosure rules. (n.d.). https://www.sec.gov/newsroom/press-releases/2025-58

[11] SEC.gov | SEC Adopts Rule Amendments to Modernize Disclosures of Business, Legal Proceedings, and Risk Factors Under Regulation S-K. (n.d.). https://www.sec.gov/newsroom/press-releases/2020-192

[12] *Funds and the European Sustainable Finance Landscape 2024 | MSCI*. (n.d.), Section: Preview. https://www.msci.com/research-and-insights/paper/funds-and-the-european-sustainable-finance-landscape-2024

The Sustainable Finance Disclosure Regulation (EU)-

Effective since 2021, the SFDR requires standardised disclosure of sustainability risks and the fund's objectives. It categorizes funds as[13] -

- Article 6: Non-sustainable
- Article 8 (light green): Promotes ESG characteristics
- Article 9 (dark green): Has a sustainable objective

After SFDR's level 2 took effect, over €175 billion worth of ESG funds were downgraded from Article 9 to Article 8, reflecting stricter standards and reducing the risk of over-claiming.[14] Morningstar reported that in Q2 2025 alone, more than 600 funds were renamed, including 383 funds that dropped ESG terms, following stricter ESMA naming guidelines and the 80% alignment threshold.[15]

The EU's model pairs a taxonomy of sustainable activities with mandatory transparency, thus clarifying definitions rather than trying to dictate investment choices. This proven-effective, dual structure provides a blueprint for the U.S., where market flexibility must coexist with rigorous disclosure.

Policy Recommendations

Option 1- Establish a federal ESG disclosure framework

- Mandate consistent disclosure templates for ESG-labeled funds.
- Require documentation of screening methodologies and sectoral exposures.
- Impose third-party verification for funds exceeding $500 million AUM.
- Prohibit use of "green" or "sustainable" branding without verifiable metrics.

This option would create a consistent, legally enforceable disclosure structure for all ESG-labeled funds[16]. It will improve market integrity and investor trust, simultaneously reducing greenwashing.

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13 Morningstar, Inc. (2025, November 11). *SFDR Article 8 and 9 Funds: Requirements, inflows, ESG Risks*. https://www.morningstar.com/business/insights/blog/esg/sfdr-article-8-funds

14 *SFDR Article 8 and Article 9 Funds: Q4 2023 in review*. (2024, February 8). Morningstar, Inc. https://www.morningstar.com/business/insights/research/sfdr-article8-article9

15 Bioy, H. (2025, July 25). *Global ESG Fund Flows Rebound in Q2 2025 Despite ESG Backlash and Geopolitical Uncertainty*. Morningstar, Inc., Section: Renaming Activity in Europe Reaches a Record High https://www.morningstar.com/sustainable-investing/global-esg-fund-flows-rebound-q2-2025

16 *Morningstar: Asset owners nimbly navigate a global market in transition*. (n.d.) section: Regulatory Rollbacks & Blowbacks – A Step in the Wrong Direction?. https://newsroom.morningstar.com/newsroom/news-archive/press-release-details/2025/Morningstar-Asset-Owners-

Limitations: Industry pushback on verification costs, potential data gaps in early years, small firms face capacity constraints without phased-in compliance.

Option 2 - Incentivize voluntary ESG alignment

The Treasury should offer limited, time-bound tax credits or registration fee reductions to funds that adopt verified ESG frameworks. A federal "Certified ESG Transparency Label" could help investors quickly identify funds with high reporting standards. Federal support for open-source ESG data infrastructure would lower compliance costs for smaller managers.

This option encourages better disclosure through incentives. While accelerating voluntary adoption, it will also support small and mid-size fund managers.

Limitations: Relies on voluntary uptake, so may not address greenwashing comprehensively. Risk of label inflation if standards aren't stringent.

Option 3 - Strengthen fiduciary and whistleblower protections

Codify that ESG factors may be considered under ERISA when they are financially material, thereby reducing litigation risk and clarifying fiduciary duties. It should also expand the SEC Whistleblower Program to cover ESG misrepresentation explicitly.[17]

This option improves compliance culture and reduces uncertainty, which is a main concern of SDFR as well.

Limitations: Potential ERISA litigation despite clarification, over-reliance on enforcement, and not on structural standard-setting.

Option 4 - Global coordination through ISSB alignment

The U.S. must align ESG disclosures with the International Sustainability Standards Board framework. This involves mapping U.S. standards to ISSB guidance, coordinating with the EU/UK on taxonomy equivalence, and supporting U.S. firms that face dual reporting requirements.

In a growing geopolitical economy, this option reduces reporting burdens for multinational issuers while improving the global capital market efficiency.[18]

Limitations: Requires ongoing diplomatic coordination, firms may face dual-reporting burdens during transition, politically could be framed as if we are outsourcing standards.

Table 1 lays out the feasibility and stakeholders for each recommendation.

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[17] Selendy Gay. (2023, May 11). *Navigating the new ESG whistleblower landscape*. https://www.selendygay.com/news/publications/2023-05-11-navigating-the-new-esg-whistleblower-landscape

[18] Reinstein, A., CPA, Weirich, T. R., PhD CPA, & Akresh, A., CPA. (2024, April 3). *The ISSB's New Sustainability Disclosure Standards*. The CPA Journal. https://www.cpajournal.com/2024/04/03/the-issbs-new-sustainability-disclosure-standards/

Table 1: Feasibility and Costs

Recommendation	Political Support	Admin Feasibility	Estimated Fiscal Cost	Principal Stakeholders
1. Federal ESG Disclosure Framework	Moderate-High • Bipartisan appeal around investor protection • Opposition likely from anti-ESG states.	High • Builds on existing SEC names rule, climate risk disclosure work, and enforcement capacity.	~$150M/year industry-wide. Minimal federal administrative cost	SEC, Treasury, DOL, Fund industry, Retail investors
2. Voluntary Incentives	High • Less regulatory burden makes it politically easy.	High • Uses existing tax authority mechanisms.	~$20-50M/ year in forgone revenue	Treasury, SEC, Fund managers, Data providers
3. Fiduciary + Whistleblower Protections	Moderate • Labor unions, pension funds, and consumer groups strongly support it. • Some conservative lawmakers oppose codifying ESG permissibility under ERISA.	Moderate • Whistleblower expansion administratively simple. • ERISA amendments require stronger political lift.	~$10-15M/ year for enforcement capacity and legal guidance	DOL, SEC, Pension plans, Unions
4. International Alignment	Moderate-Low • Supported by multinational firms and global investors. • Resistance from domestic-focused legislators who view ISSB/EU alignment as regulatory overreach.	Moderate • Requires interagency coordination and technical mapping, but avoids full rulemaking burden.	~$25-40M/ year for global coordination, technical guidance, and agency staffing.	Treasury, SEC, ISSB, Multinational firms

Recommended Timeline

1. Near term (upto 12 months)
   - Direct the SEC to finalize core disclosure templates and clarify how the amended *Names Rule* treats ESG terms.
   - Issue DOL/SEC guidance codifying the permissibility of ESG considerations under ERISA and expanding whistleblower coverage for ESG misrepresentation.

2. Medium term (12-36 months)

- Phase in third-party verification requirements for large funds.
- Pilot a Certified ESG Transparency Label and offer limited tax credits to small/medium managers.
- Begin formal ISSB mapping and bilateral talks with the EU and UK.

3. Long term (post 36 months)
   - Integrate taxonomy into SEC templates and tighten assurance standards.
   - Seek Congressional support to codify any remaining authorities.

Conclusion

ESG investing has shifted from the margins of finance to the centre of how millions of Americans decide where to invest their savings. This shift reflects a broader expectation that markets should account for long-term risks. Sadly, the U.S. continues to operate without the basic transparency infrastructure that such a market requires.

A measured federal approach offers a way out of this muddle. By clarifying terminology, standardising reporting, and ensuring that ESG labels have concrete meaning, Congress can protect investors while preserving the flexibility and innovation that have long characterised U.S. capital markets. Other jurisdictions have already demonstrated that such guardrails reduce greenwashing and improve market integrity without constraining investment choice.

Strengthening ESG transparency is neither an ideological project nor an attempt to steer capital. It is a practical step toward ensuring that investors receive accurate information in an area where demand is unmistakably high. By advancing targeted reforms grounded in disclosure, we can help restore trust and position the United States to lead, rather than react, in the future of sustainable finance.